Macroeconomics for International Commerce

Lecture 1: Course Overview & Why Macroeconomics

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Welcome!

Macroeconomics for International Commerce

I'm **Iegor Vyshnevskyi**, and I'll be your instructor this semester.

Quick Icebreaker: the Macro Check

Good, Bad, or Depends?

Right hand: mostly good

Left hand: mostly bad

Cross your arms: it depends

For each question: **vote** → **explain** → **reveal**.

Rising exports 🚢

Vote first: **good, bad, or depends?**

Rising exports

- ✅ Higher foreign demand can raise domestic output and employment.
- ⚠️ It can also lead to currency appreciation and inflation.

Inflation 10% 📈

Vote first: **good, bad, or depends?**

Inflation 10%

⚠️ **Main risk:** If persistent, it erodes purchasing power and creates uncertainty.

⚠️ Distributional effects depend on whether inflation is expected and whether wages and contracts adjust.

Central bank cuts interest rates 🏦

Vote first: **good, bad, or depends?**

Central bank cuts interest rates

✅ It can stimulate consumption, investment, and employment.

⚠️ The effect depends on inflation, expectations, credit conditions, and why the bank is cutting.

AI boosts productivity 🤖

Vote first: **good, bad, or depends?**

AI boosts productivity

✅ Increases output per worker → long-run growth, higher living standards.

⚠️ The transition may displace some workers or widen inequality if gains are unevenly shared.

Example: Stanford Digital Economy Lab, *Canaries in the Coal Mine?*

Housing bubble 🏠 💥

Vote first: **good, bad, or depends?**

Housing bubble

⚠️ **Main risk:** Credit-fueled price increases can raise the risk of a crash and financial instability.

⚠️ In the short run, wealth effects and construction can boost demand—even while longer-run risks accumulate.

Quick Macro Check → Key Macro Lessons

- There is rarely an absolute **good** or **bad** macro event.
- The effect depends on:
  - who is affected;
  - short run vs. long run;
  - domestic economy vs. international commerce;
  - whether policy reacts well or badly.
- Every macro shock creates **trade-offs**:
  - growth vs. inflation;
  - employment vs. price stability;
  - competitiveness vs. purchasing power;
  - stability today vs. risk tomorrow.

In short:

> Macroeconomics helps us ask better questions before jumping to conclusions.

Welcome to Macroeconomics for International Commerce!

Agenda

Today — Week 1, Meeting 1

1. Introduction

2. Course Overview

3. Why study macroeconomics?

4. Next class

1. Introduction

Course Information

- **Course Title**: Macroeconomics for International Commerce (TIC2003)
- **Credit**: 3
- **Semester**: Fall 2026
- **Class Time**: Tue & Thu, 12:00–13:15
- **Location**: J211
- **Instructor**: Iegor Vyshnevskyi, Ph.D.
- **Office Hours**: Tue/Thu 10-10:30 and 15-16:30 and Wed 10–12 (or by appointment)
- **Office**: J721
- **TA**: Maeva LASMAR, lasmarmaeva@gmail.com (attendance)

About me

My name is Iegor Vyshnevskyi, Ph.D.

- Assistant Professor (link), Sogang University
- Background: International banking & central banking
- Research interests: central banking, computational data science

Some Info:

- email: ievysh@sogang.ac.kr
- office: J721
- Communication preference:
    - LMS for most questions about course content
    - Email mainly for meeting requests and urgent issues
- My page
- Outside the classroom: family and martial arts

About You

Please talk with the student next to you for **2 minutes**.

Ask:

- What is your preferred name?
- What is your major / background?
- Have you taken any economics course before?
- What do you want to understand better by the end of this course?

After that, I will ask a few volunteers to introduce their partner.

Reason:
Macroeconomics is easier when we learn from different countries, experiences, and perspectives.

2. Course Overview

Course Description

- This intermediate course introduces **macroeconomic theory and policy** with direct application to **international commerce**.
- We connect models to real events: **unemployment, inflation, financial markets, exchange rates, crises**, and policy responses.
- You'll practice reading data, interpreting macro trends, and using frameworks (IS–PC–MR, open-economy extensions) to reason about global business conditions.

Course Objectives

By the end, you will be able to:

- Explain key macro mechanisms: demand, supply, expectations, policy rules.
- Analyze inflation–output trade-offs and policy transmission.
- Interpret **open-economy** dynamics: exchange rates, capital flows, competitiveness.
- Evaluate macro shocks for **international business** decisions.
- Communicate macro insights clearly in writing and discussion.

Our Reasoning Framework

Throughout the course, we will ask four questions:

Shock → Mechanism → Policy response → Business implication

1. **Shock:** What changed?
2. **Mechanism:** How does the change move through the economy?
3. **Policy response:** How might policymakers react?
4. **Business implication:** Who gains, who loses, and what decision follows?

We will use this framework in today's group case and throughout the semester.

Teaching Method

This course combines:

- Short lectures for core concepts
- Flipped learning in selected weeks
- In-class group activities
- Applied cases and policy discussions
- Short individual assignments
- Guest speakers, if available

Main principle:

> You learn macroeconomics better by using it, not only by listening to it.

How Flipped Weeks Work

Before class

- Watch one short video, usually 15–20 minutes
- Answer a readiness check on Cyber Campus
- Review the basic concepts before coming to class

During class

- Work in groups
- Apply the model to a shock or real-world scenario
- Complete an activity table or short worksheet

After / end of class

- **Group activity:** the group submits one report or worksheet.
- **Individual activity:** each student submits their own response or problem set.
- The instructions will always identify which type of submission is required.

Important:
The video is not optional. It prepares you for the in-class activity.

No free riding: A group score applies only to students who make a substantive contribution. A student who contributes no effort receives **zero for that activity**. Making an honest mistake is not the same as making no effort.

Grading

- *Class Participation*: 10%
- *Individual Assignments*: 10% — individually submitted and scored
- *Group Activities*: 20% — one group submission, conditional on individual contribution
- *Midterm Examination (Week 8)*: 30%
- *Final Examination (Week 16)*: 30%
- **Total**: 100%

Grades will be determined by relative ranking, with the top 40% of the class receiving an A, the next 40% a B, and the remaining 20% a C or below.

Detailed instructions and assessment criteria will be provided before each graded task.

Grades will reflect your demonstrated achievement under those published criteria.

Course Policies

- **Academic Integrity**: The University Honor Code applies to all coursework. Plagiarism may result in zero credit and an F grade, in accordance with university policy.
- **Recording and Photography**: Please do not routinely photograph or record the class. Slides are provided in advance. Approved accessibility accommodations will always be honored; please contact me if you need an alternative way to access course material.
- **Communication**: Use LMS for discussions and Q&A. Engage early to benefit from collective knowledge. Private questions are allowed.
- **Accessibility**: If a disability, health condition, or other barrier affects your learning, please contact me or the appropriate university support office early so that we can arrange reasonable accommodations.

General Principles

- **Our goals**
  - Learn the core of macroeconomics for international commerce
  - Apply the ideas to real-life scenarios
  - See that macroeconomics can be fun :-)
- **Our principles**
  - Learning by doing
  - Mutual respect
  - Consistent effort
- **My role:** to guide, mentor, and facilitate your learning
- Your suggestions are always welcome through LMS or email.

3. Why study macroeconomics?

Why Macroeconomics?

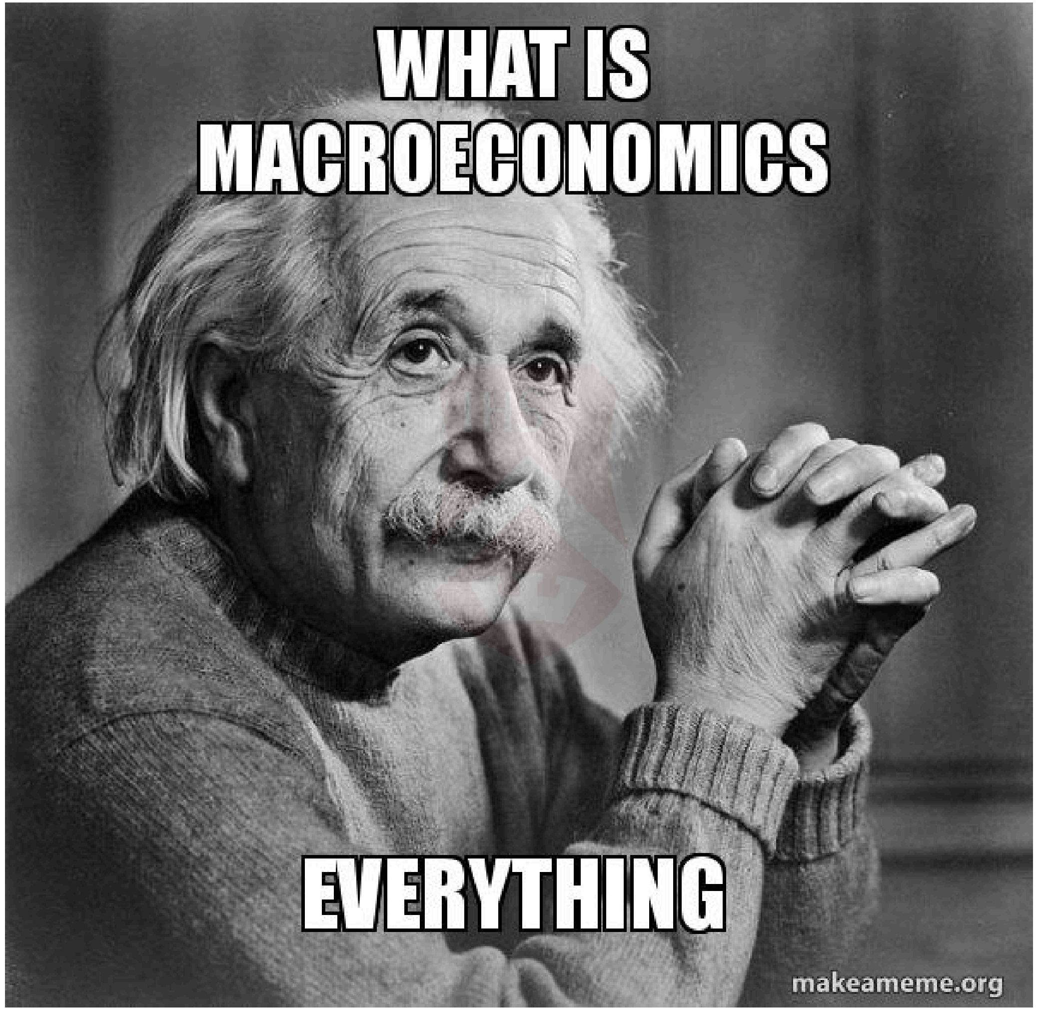


Image used as a discussion prompt; original creator unknown.

Mini Case: A Macro Dashboard

Suppose these indicators describe the **Korean economy**:

Indicator	Change
Inflation	rising
Central bank policy rate	expected to increase
Exchange rate	Korean won depreciating
Export orders	rising
Consumer confidence	falling

The same economy can look very different to different decision-makers.

Your task is to interpret the dashboard from one stakeholder's perspective.

Your Stakeholder

Form **six groups of 2–3 students**. Each group advises one stakeholder:

Group	Stakeholder
1	Korean exporter that relies on imported inputs
2	Korean importer and domestic retailer
3	Multinational firm considering investment in Korea
4	Foreign investor holding Korean financial assets
5	Korean commercial bank
6	Bank of Korea policy team

Group Task – 6 Minutes

Prepare one short recommendation for your stakeholder:

1. **Verdict:** Is the outlook mainly an opportunity, a risk, or mixed?
2. **Causal chain:** Use our course framework:
   shock → **mechanism** → **policy response** → **business implication**
3. **Recommendation:** What should your stakeholder do now?
4. **Missing information:** What one additional indicator would you request?

Write your answer so that another group can understand it in **four lines**.

Be ready to report in **45 seconds**.

Report Template

> For [stakeholder], the outlook is [opportunity / risk / mixed].
>
> [Indicator] changes [mechanism], which affects us through [channel].
>
> Policymakers may respond by [policy response].
>
> Therefore, we recommend [business or policy action]; we still need to know [missing indicator].

As groups report, listen for:

- Different effects of the same macroeconomic change
- Assumptions behind each recommendation
- Possible conflicts between business and policy objectives

Mini Case: Debrief

Possible reasoning—not a single correct answer:

- **Exporter:** depreciation may improve price competitiveness, but imported inputs become costlier.
- **Importer/retailer:** import costs rise while weak confidence may limit price increases.
- **Multinational:** Korean assets and labor may become cheaper in foreign currency, but demand and policy risks rise.
- **Foreign investor:** expected rate increases may raise returns, while further depreciation creates FX risk.
- **Commercial bank:** lending margins may rise, but credit demand and borrower quality may weaken.
- **Bank of Korea:** rising inflation favors tightening, but falling confidence signals weaker demand.

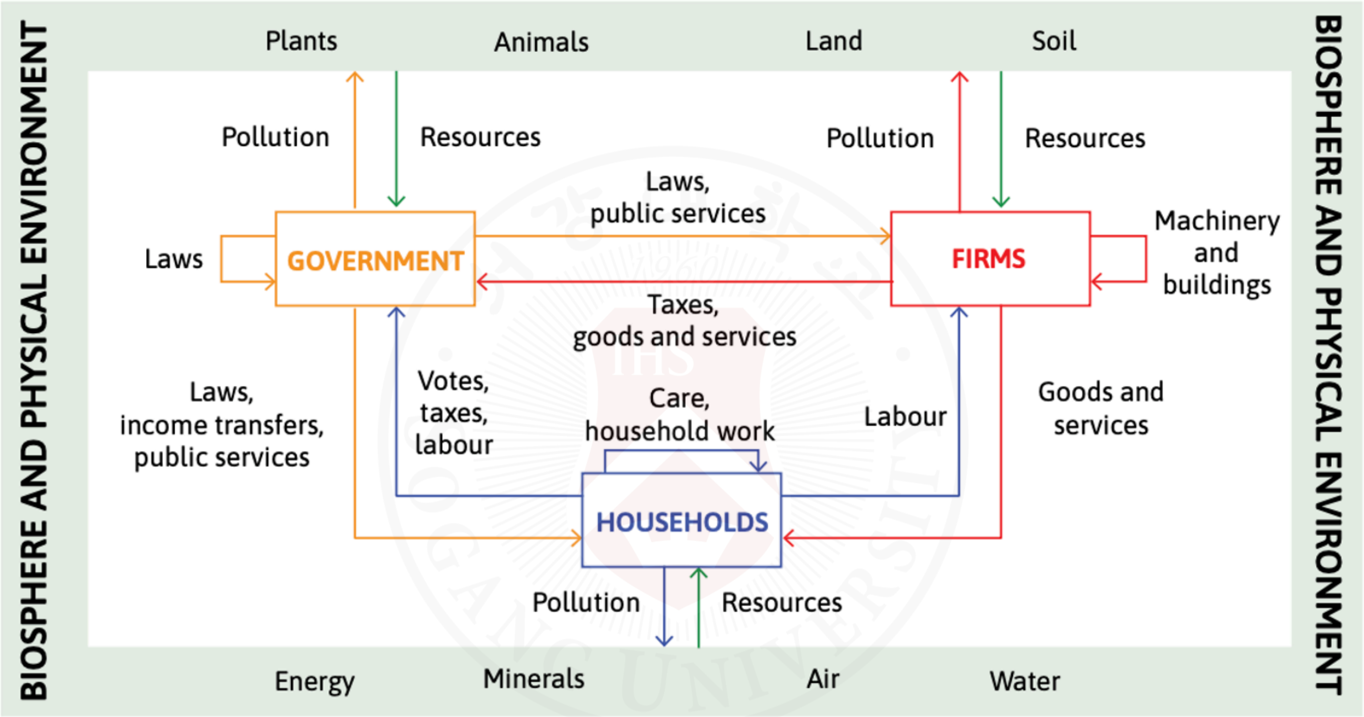
Macro lesson:

> A dashboard does not make the decision. The framework connects a shock to its mechanism, likely policy response, and business implication.

Why Macroeconomics?

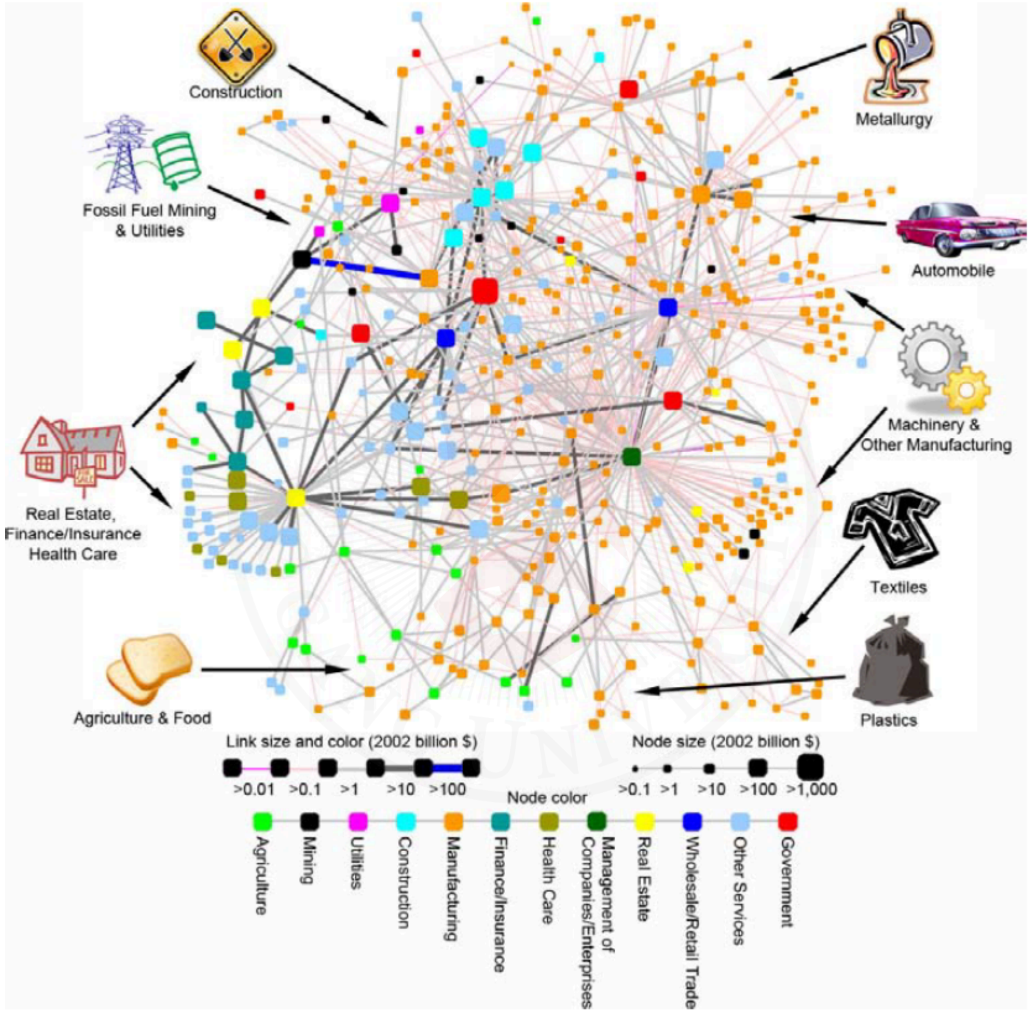
- Firms face **macro headwinds and tailwinds** (inflation, rates, wages, demand).
- Macro is the **compass** for international commerce.
- It explains how shocks and policies shape **trade, investment, competitiveness**.
- It helps you become an **informed professional and citizen** able to interpret economic debates and data.

The economy as a whole



Source: Economy 2.0.

How might the economy look? (cont.)



Source: Xu et al. (2011), "Interconnectedness and Resilience of the U.S. Economy," *Advances in Complex Systems*, 14(5), 649–672.

The Macro Compass

- **IS curve (Demand)**: spending decisions, interest sensitivity, external demand.
- **Phillips Curve (PC)**: inflation dynamics, slack, expectations.
- **Monetary Policy (MP) rule**: how central banks react to inflation/output.
- **Open-economy extensions**: interest parity, terms of trade, capital flows.

We'll use this compass to interpret current events and business-relevant scenarios.

Sum up

- **Macroeconomics = the study of the economy as a whole**
- Explains **growth, inflation, unemployment, inequality, crises, globalization**
- Shows how **policy tools** (monetary, fiscal, financial stability) shape outcomes
- Builds skills to read **economic indicators & policy debates** with clarity
- Makes you a **better decision-maker**: connect global shocks to business & society
- Provides a foundation for careers in **policy, finance, trade, consulting, NGOs**

In short:

> Macroeconomics helps you see the *big picture* of economies — how shocks, policies, and institutions affect prosperity and stability.

Exit Ticket — 3 Minutes

Choose **one change** from today's macro dashboard.

Write four short lines:

1. **Shock:** What changed?
2. **Mechanism:** How could it affect output, inflation, employment, or the exchange rate?
3. **Policy response:** What might the central bank or government do?
4. **Business implication:** What should one international firm consider doing?

Finally, write **one question** you still have about the course or macroeconomics.

Submit your response before leaving.

4. Next Class

Next Class

Week 1, Meeting 2
Topic: Chapter 1 — The Demand Side

Before class:

- Read / skim the assigned material from Carlin & Soskice
- Review the lecture slides on Cyber Campus
- Think about this question:

When interest rates rise, why do consumption, investment, and output usually fall?

This question will become the foundation of the IS curve.

Any QUESTIONS?

Thank you!

Appendix

Course details for reference

What We Cover

Core Curriculum

- Key macroeconomics **concepts & theories**
- Understanding global markets
- Real-life **case studies**
- Problem-solving frameworks
- Applying macroeconomics to **business & policy**

Beyond the Classroom

- **Critical thinking** & adaptability
- **Teamwork** & cooperation
- Clear **communication** of ideas
- Professional **standards & values**
- Practice through debates & discussions

Goal: Not only knowledge, but also the **skills employers value** in the job market.

What is Flipped Learning?

In a normal lecture:

Class time = first exposure to new material

In flipped learning:

Before class = first exposure
Class time = practice, application, discussion, feedback

For this course, flipped learning means:

- Watch a short pre-class video
- Complete a short readiness check
- Come to class ready for an activity
- For a group activity, submit one group report or worksheet
- For an individual activity, submit your own reflection or problem set

Goal: Less passive listening. More active problem-solving.

Flipped Learning Weeks

We will use flipped learning mainly in **Weeks 2–5**.

Week	Topic	Pre-class video	In-class activity
2	Supply side	WS–PS and inflation pressure	Wage-setting / price-setting simulation
3	3-equation model	IS–PC–MR and policy response	Central bank policy simulation
4	Expectations	Adaptive vs. anchored expectations	Inflation expectations and credibility game
5	Money and banking	Policy rate, lending rate, banking markup	Credit-crunch simulation

How Flipped Learning Counts

Component	Weight	What it includes
Participation	10%	Readiness, discussion, active engagement
Individual assignments	10%	Short readiness checks, reflections, problem sets
Group activities	20%	In-class simulations, worksheets, group reasoning

You do not need to be perfect.
But you do need to prepare, participate, and submit your work.

No free riding: Group credit requires a substantive contribution. A student who contributes no effort receives **zero for that activity**. Incorrect work completed in good faith still demonstrates effort and can receive credit.

Course Materials

Main 📘

- Carlin & Soskice (2024), *Macroeconomics: Institutions, Instability and Inequality* (free PDF via Wendy Carlin's Google Site)

Additional

- Mankiw (2024), *Principles of Macroeconomics*, 10e
- CORE Team (2024), *The Economy 2.0: Macroeconomics* (free e-book)

Lecture slides & LMS materials are provided weekly (check Cyber Campus).

Why Carlin & Soskice (2024)?

- **Real-world relevance:** inflation, policy, growth, inequality, and exchange rates
- **Accessible but rigorous:** built around the **IS–PC–MR model**
- **Institutional and historical depth:** data, cases, and policy debates
- **Pedagogical strength:** undergraduate foundations linked to current research

In short: The book provides a practical framework for understanding the forces shaping global commerce.

Course Roadmap

Week	Topic
1	Meeting 1: course intro; Meeting 2: **the demand side**
2	The **supply side**
3	The **three-equation model** (IS–PC–MR) and macroeconomic policy
4	**Expectations** and monetary policy
5	**Money, banking**, and the macro-economy
6	**Monetary policy**: tools, rules, and discretion
7	**Fiscal policy**
8	**Midterm Exam**
9	**Financial instability and the Global Financial Crisis**
10	**Financial stability policy**
11	**Exchange rates, capital flows, and open-economy policy**
12	**Trade, external balance, and international competitiveness**
13	**Supply-side institutions and productivity**
14	**Growth, innovation, and digital transformation**
15	**Macroeconomics of the green transition**
16	**Final Exam**

Tentative schedule; it may be adjusted based on class background and progress.

Our Communication

- Check **LMS** regularly for materials and messages.
- Feel free to approach me before or after class.
- **Office:** J721
- **Office hours:** Tue/Thu 10-10:30 and 15:00–16:30 and Wed 10:00–12:00, or by appointment
- Use LMS for most questions about course content.
- Use email mainly for meeting requests or urgent issues.
- For a meeting request, include the course name, a brief reason, and at least two possible meeting times.

How to Do Well in This Course

1. Watch pre-class videos before flipped-learning classes.

2. Do not wait until exams to study the models.

3. Focus on the causal chain:
   shock → model mechanism → policy response → business implication

4. Ask questions early through LMS.

5. Practice explaining macro ideas in simple language.

The best preparation is steady weekly work, not last-minute cramming.

Common Challenges — and How to Handle Them

1. **Time management:** short weekly preparation is easier than exam-week panic.
2. **Specific terminology in English:** focus first on the logic, then the vocabulary.
3. **Math / model anxiety:** we will develop models step by step.
4. **Personal difficulties:** contact me early if something affects your learning.
5. **Not asking questions:** if you are confused, someone else probably is too.